

Forestry measures

Forestry Growth Fund

The Australian Government has announced a \$300 million [Forestry Growth Fund](#) to help grow the forestry industry and support delivery of the [Timber Fibre Strategy](#).

The fund supports:

- \$150 million in concessional finance to modernise processing across the industry, delivered through the National Reconstruction Fund
- \$150 million in initiatives that strengthen the workforce, improve workplace health and safety, support community well-being and lift productivity,
- and innovation in engineered wood products to increase the supply of value-added materials for housing and construction.

The concessional finance component is now open for applications at [Forestry Growth Fund | National Reconstruction Fund Corporation](#) to support the wood product manufacturing sectors to modernise and advance processing capabilities, including new facilities and increase the value of outputs, including wood products used for housing construction. This includes developing competitive timber manufacturing capability in mass timber, engineered wood, and high-value secondary processing and component manufacture.

Building on existing investment

The Forestry Growth Fund builds on the government's existing investment of almost \$300 million in forestry programs.

These investments are part of the A Better Future for our Regions and A Future Grown in Australia policies.

They include initiatives that support long-term planning for Australia's forestry industry, such as:

- working with stakeholders to review the 1992 National Forest Policy Statement to ensure it meets contemporary objectives for our future wood and fibre needs
- supporting the Strategic Forest and Renewables Material Partnership, including development of the [Timber Fibre Strategy](#).

The government has also reserved \$500 million of the \$15 billion National Reconstruction Fund for agriculture, fisheries, forestry and food and fibre.

Support Plantation Establishment program

The Australian Government's Support Plantation Establishment program commits \$73.76 million in grant funding over four years from 2023–24. The funding supports the establishment of new long-rotation softwood and hardwood plantation forests in Australia.

The program aims to expand our domestic timber supply, particularly construction and manufacturing timber resources, contribute to Australia's carbon emission reduction targets, and support regional communities through the retention and creation of regional jobs.

Grant applications for the Support Plantation Establishment program have closed.

Further information is available on the [Support Plantation Establishment](#) page.

Forestry Workforce Training Program

The Australian Government is investing \$10 million over four years in the Forestry Workforce Training Program. The Program will support the delivery of skills and training to meet the requirements of Australia's forest and wood products sectors.

Australia's forest and wood products industries supply the nation with products for building and construction, packaging and many essential household products and require a specialised workforce to produce these products. An issue faced by these industries is accessing the specific training and credentials required for the workforce.

The forestry industry is a significant employer in rural and regional Australia, directly employing 51,000 people. Due to the remote location and ageing workforce, increased participation in the workforce by First Nations Australians and women will be increasingly important.

To ensure that the Program addresses the issues faced by the forest and wood products industries and the education and training sector, the Australian Government contracted ForestWorks Ltd to undertake a Scoping Study which sets out 19 recommendations for piloting action and implementation of the Program.

A crucial part of the Scoping Study was engaging with the different industries, government agencies and industry bodies to understand the needs and issues impacting them. ForestWorks Ltd conducted stakeholder consultation with a wide range of stakeholder groups in June 2023 and provided the final report to the Australian Government in November 2023. The Scoping Study sets out 19 recommendations for piloting action and implementation of the Program.

The department undertook an approach to market to identify a service provider to deliver the Program in line with the recommendations of the Scoping Study. Following this approach to market ForestWorks Ltd was engaged to deliver the Program.

Further information about the program is available on [ForestWorks' webpage](#).

Download

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Australian Forest and Wood Innovations

The Australian Government in partnership with the University of Tasmania (UTAS) has established Australian Forest and Wood Innovations (AFWI).

AFWI is supporting transformative research, development and innovation for Australia's timber industry, while also supporting the training and development of forest industries researchers.

AFWI has 3 research centres at the University of Melbourne, the University of the Sunshine Coast and UTAS. The centres undertake research and development on behalf of AFWI. AFWI also undertakes an annual National Open Call for research that is open to all Australian-based researchers supporting the forest and wood products industries.

Further information about AFWI is available on the department's [AFWI](#) page.

Extending the Regional Forestry Hubs

The 11 Regional Forestry Hubs have been extended to June 2027 which includes an additional \$8.6 million over 3 years from 2024-25 through to 2026-27.

This additional funding allows the Hubs to continue to provide strategic planning, technical assessments and analyses to support growth in their regions. The role of the Hubs has been expanded to include extension services, enabling the Hubs to inform local industries and landholders of the outcomes of the research and innovation work, in particular from the Australia-wide NIFPI. The Hubs do not provide individual business advice.

Further information is available on the department's [Regional Forestry Hubs](#) page.

Accelerate Adoption of Wood Processing Innovation Program

The Australian Government is supporting 29 grantees across Australia with \$82.42 million in grant funding.

The program supports the medium to long-term sustainability of wood processors by stimulating investment in upgrades to existing manufacturing lines, as well as supporting innovation to diversify domestic products.

By supporting wood processing facilities to use innovative technologies in their production, the Australian forestry industry will be able to supply more of Australia's wood demands into the future.

Grant applications for the Accelerate Adoption of Wood Processing Innovation Program have closed.

More information is available on the [Accelerate Adoption of Wood Processing Innovation Program](#) page.

Protecting Australia from illegally logged timber products

This Australian Government invested \$4.4 million between 2022-2024 to combat illegally logged products from entering the Australian market. This was in parallel with our recent illegal logging legislative reforms that came into effect on 3 March 2025.

Under this measure, we undertook a trial to better understand the range of timber testing technologies available to verify claims of species and origin of timber products entering the Australian market.

We also explored IT solutions for streamlining data collection and management of declarations, as well as supporting the expansion of a global timber testing reference database under a grant awarded to [World Forest ID](#).

The investment positions the department to take forward timber testing under the new arrangements from the reformed laws.

Australia's forestry case studies

The stories of the grantees and their projects that are delivering Australia's future forest products.

Australia's forests

The [Australia's State of the Forests Report](#) states Australia has 134 million hectares of forest, covering 17% of Australia's land area. This is comprised of 132 million hectares of native forest and 0.47 million hectares of other forest.

[ABARES' forest and wood products statistics](#), report Australia has 1.74 million hectares of commercial plantations.

Australia has around 3% of the world's forests and globally has the seventh largest forest area. Australia's native forests are dominated by eucalypts (77%), acacias (8%) and melaleucas (5%). About half of Australia's plantations are exotic softwood (predominantly *Pinus radiata*), while the other half are hardwood (predominantly eucalypt species such as *Eucalyptus globulus*).

Australia's forests are diverse, extensive, and highly regarded for their ecological, economic and social values. They provide a range of benefits including wood and non-wood forest products and ecosystem services including:

- water protection and supply
- soil protection

- carbon storage and sequestration
- habitat for flora and fauna species
- tourism and recreation
- cultural values for both non-Indigenous and Aboriginal and Torres Strait Islander peoples.

Australia has a well-established institutional framework to support the conservation and sustainable management of forests.

The Australian Government aims to foster and enable productive, profitable, internationally competitive and sustainable Australian forest and forest products industries.

Detailed information on Australia's forests is available from the [Australia's State of the Forests Report](#) series that are published every 5 years. Preparation of the reports is a commitment made by governments in the [National Forest Policy Statement](#). Reports have been published in 1998, 2003, 2008, 2013, 2018 and a synthesis in 2023.

ABARES also publishes comprehensive datasets relating to Australia's forestry sector in its biannual [Australian Forest and Wood Products Statistics](#) report, including time series of data on:

- forest and wood products resources
- production
- consumption
- trade
- employment.

Source: <https://www.agriculture.gov.au/agriculture-land/forestry>